Findings & Strategic Recommendations.

Addressing Canada Post's Financial Crisis & Path to Solvency

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Agenda

- Key Findings
- Problems Canada Post is Facing
- Our Strategic Recommendations

KEY FINDINGS

Through a thorough review of Canada post's annual reports, the 2025 Industry Inquiry Commission Report, media coverage, our team identified critical findings that explain the depth of the crisis and the urgency of reform.

- Canada Post has posted losses every year since 2018, accumulating over $5.5billion in losses. By 2025, the annual loss alone is projected to surpass $1.5 billion
- Domestic letter mail volume has fallen by 63% from 5.5 billion pieces in 2006 to 2.0 billion in 2024 driven by digital substitution, a structural and irreversible decline that has permanently eliminated Canada Post's traditional revenue model.
- Since pivoting to Parcel delivery, Canada Post has struggled to compete. It's parcel market share collapsed from 62% in 2019 to just 24% in 2024, driven by fierce competition from the private sector and repeated labour disruptions.

KEY FINDINGS (Cont'd)

- Canada Post discontinued the traditional flag-raising system that rural residents relied on for over a century as part of operational cost-cutting measures, triggering widespread public backlash.
- Commercial Customers are actively abandoning Canada Post as their primary carrier due to recurring strikes, service disruptions, and delivery delays.
- The reinstatement of the Canada Post letter carrier who hoarded 6,000 pieces of undelivered mail damaged the public confidence in the organization's service reliability
- While it has declined since 2019, Canada post ranks the 3rd highest in Disabling Injury Frequency Rate (DIFR) among federal sector employees, at 16.43 injuries per million hours worked (16 disabling injuries occurred) in 2023 contributing to higher compensation costs and operational disruption.

Problems

“

Canada Post is facing an existential crisis: It is effectively insolvent, or bankrupt. Without thoughtful, measured, staged, but immediate changes, its fiscal situation will continue to deteriorate.

- Commissioner William Kaplan, Industrial Inquiry Commission, May 2025

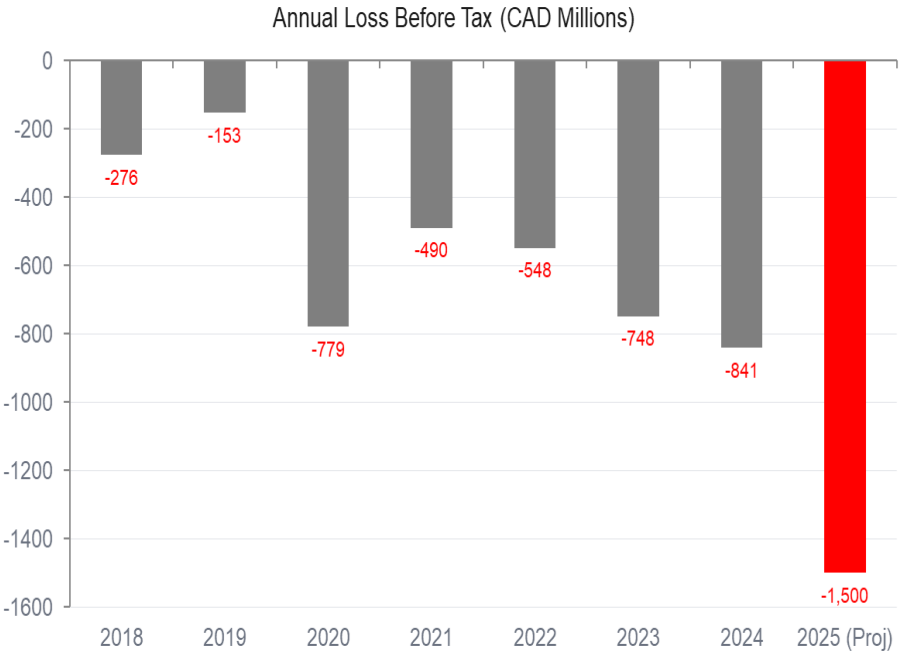
Risk of Insolvency in the Next 5 Years

$5.5B+
Cumulative operating losses 2018 - 2025

$1.5B
Projected 2025 annual loss

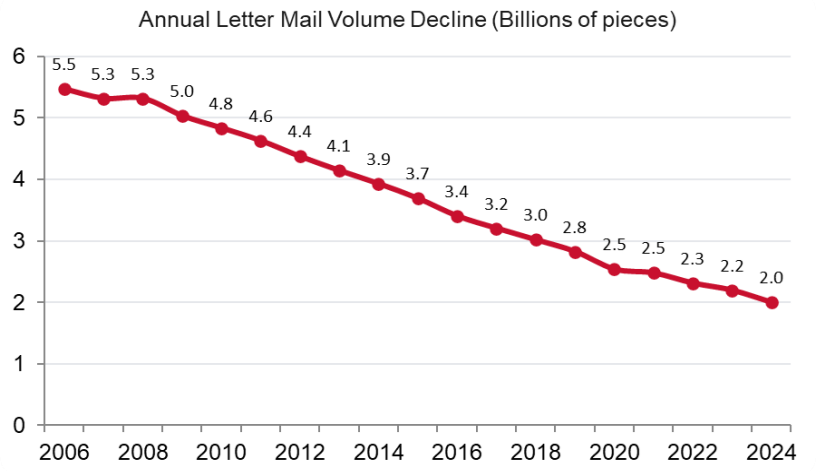
$1.03B
Capital Injection from Government of Canada (2025)

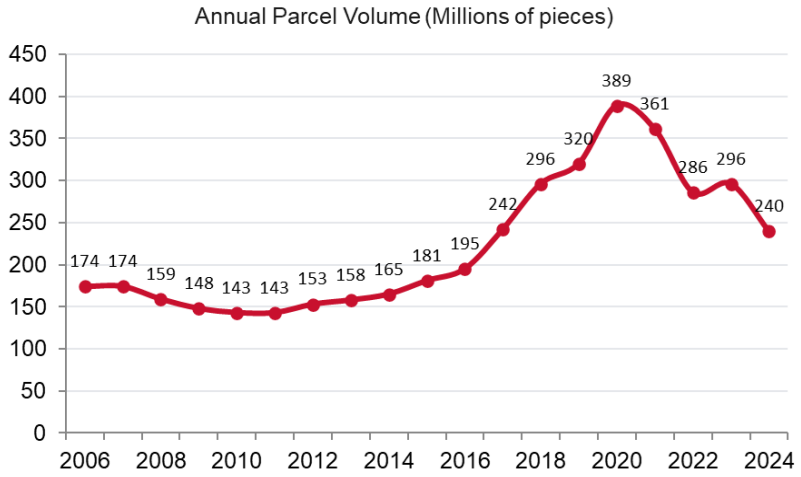
8 Years
Consecutive annual losses



- Canada Post's financial deterioration has been compounding for nearly a decade.
- The Organization has posted losses every year since 2018 and by 2025, losses are projected to surpass $1.5billion.
- In 2025, Canada Post required $1.03billion emergency funding from the federal government because revenues could no longer cover basic operating expenses,confirming the organization's inability to sustain itself financially.

Data Trends in Mail Volume and Parcel Demand





- In 2024, letter mail volume declined by 64% from 5.5billion pieces in 2006 to 2.0billion pieces driven by digital substitution.
- Parcel volumes peaked at 389 million pieces in 2021 post-pandemic and have since fallen sharply to 240 million in 2024, a 37% decline in just three years.

Recent Incidents Affecting Canada Post

Parcel Competition Intensified

UPS, FedEX, DHL, Purolator, Amazon Logistics & low-cost entrants have taken significant parcel market share.

Letter Mail Collapse

Volume fell from 5.5B (2006) to 2.0B (2024), a 64% drop due to digital substitution.

Decline in Parcel Delivery Business

Canada Post is struggling to sustain this line of business mainly due to its existing rigid, outdated operating model in a competitive market

National Strike Action (Q4 2024)

The CUPW 32-day strike contributed to a net financial loss in revenue of $208 million and a 20% decline in Parcel revenue.

High Operating Costs

Labour and Employee benefits account for 64.9% of total operating expenses primarily due to wage increases and outdated operating model.

Rural Service Issues

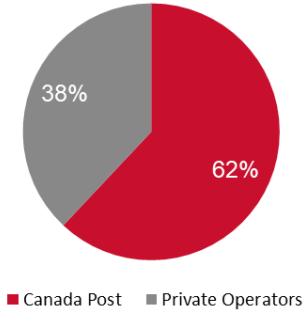
The discontinuation of the flag-raising indicators in rural areas has weakened Canada Post's reputation and customer service damaging public trust and brand equity.

Narrow Revenue Streams

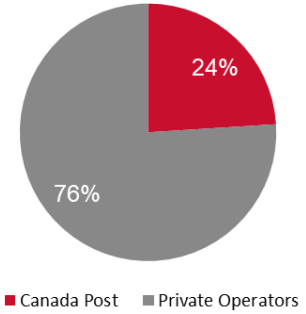
With 83% of revenue concentrated in letter mail and parcels which are both declining, Canada Post has no material alternative income dreams to cushion the financial impact.

Why Canada Post is Losing Market Position

Parcel Delivery Market Share (2019)



Parcel Delivery Market Share (2024)



- Canada Post held nearly two thirds (62%) of the Canadian parcel market before the pandemic in 2019. By 2024, even before the labour disruption, that had already fallen to just 24%.
- The CUPW 32-day strike cost Canada Post $208 million in losses, permanently accelerating customer defections to private carriers.
- Canada Post's collective agreements constrain its operating model, preventing the flexibility needed to compete with private carriers.
- Repeated labour disruptions are driving customers away, making Canada Post an unreliable partner for businesses that cannot afford delivery disruptions.

Major Operational and Service Challenges

Aging Infrastructure and Need for Modernization

Canada Post faces pressure to modernize:

Key areas needing investment:

- Automated sorting facilities
- Digital logistics platforms
- Parcel tracking technologies
- Delivery route optimization

Changing Consumer Expectations

Expectation for Real-Time Tracking

Customers now expect **full transparency** about their packages.

Typical expectations include:

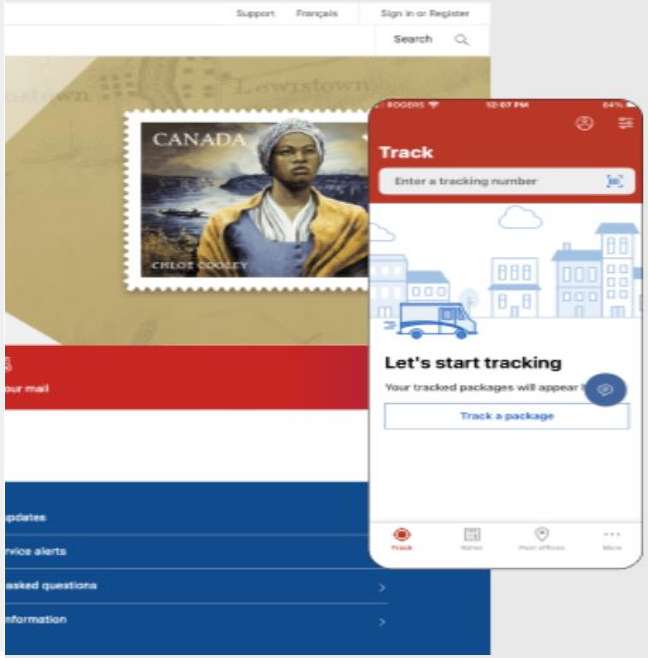
- Real-time tracking updates
- Delivery notifications
- Accurate delivery time windows
- Mobile tracking apps

The old dashboard was uninspiring, clunky and not always user friendly.

There are many services offered to the users, some not known or buried in the layers.

The value of having an account with CP was not clear as users can track packages without creating an account. Missing the value of added features while tracking.

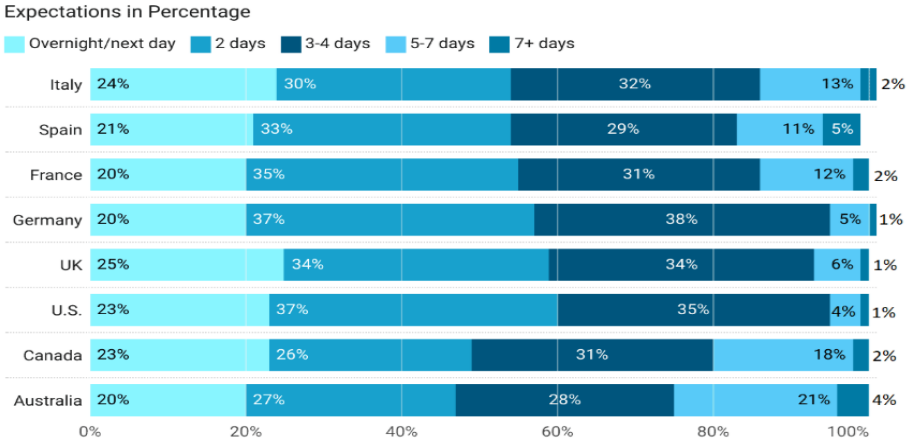
Private carriers often provide **more advanced digital tracking systems**, which makes Canada Post appear slower or less technologically advanced.



Rising E-Commerce Expectations

- Online shopping in Canada is growing rapidly, creating huge delivery demand
- Customers now expect fast, flexible delivery (including weekends)
- Canada Post's legacy delivery model struggles to keep up

Customer expectations on delivery time for online shopping - By Country



(Expectations in %)

Source: Market.us Scoop

Competition from Private Delivery Companies

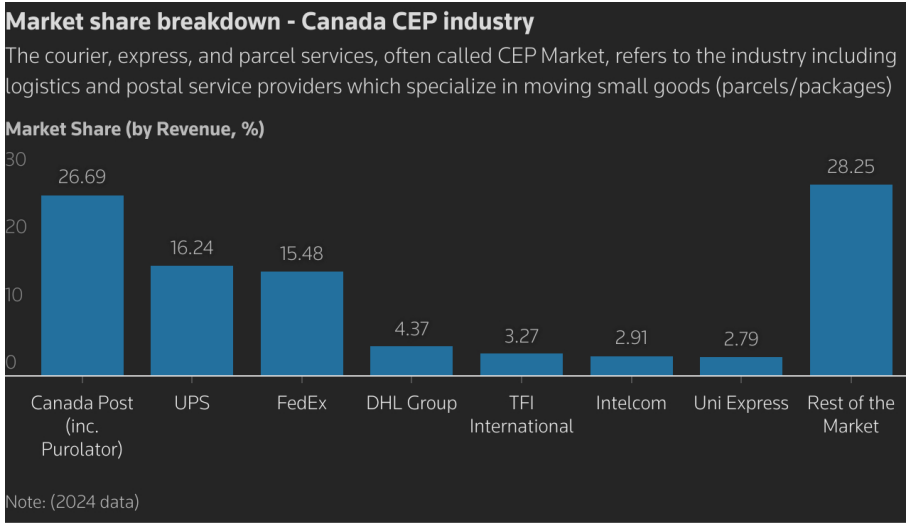
Parcel delivery was expected to replace declining letter mail revenue, but competition has intensified.

- Canada Post's parcel market share dropped from **about 62% in 2019 to below 24% by 2025**.

- Customers are shifting to private carriers such as:
  - FedEx
  - UPS
  - DHL

Reasons

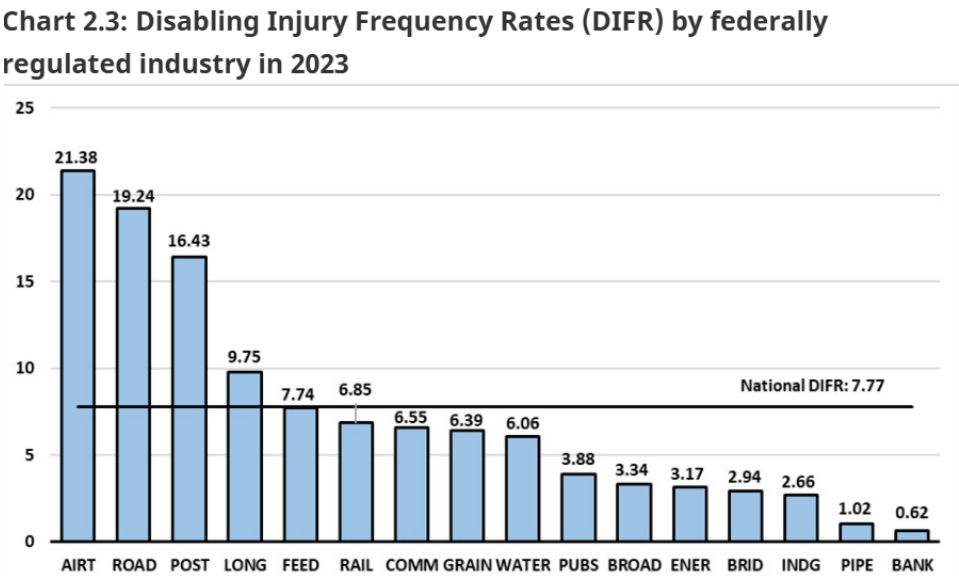
- Faster delivery options from private couriers
- Weekend delivery services
- Advanced logistics technology



Strategic Solutions

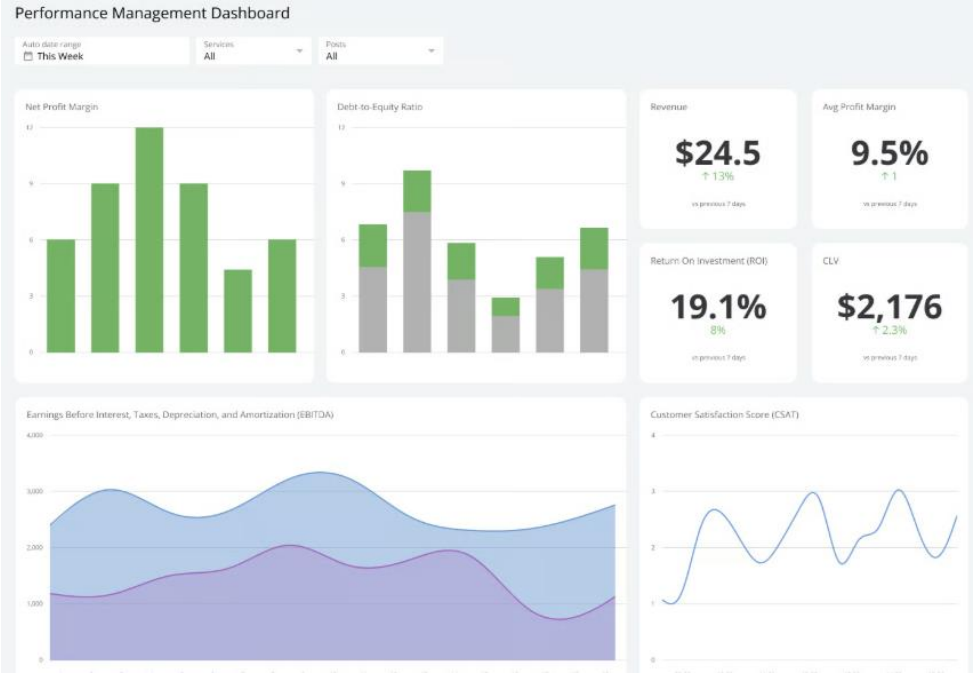
Improve Worker Health & Safety

- Ergonomic improvements in sorting facilities
- Weather-appropriate gear for outdoor employees
- Mental health programs with measurable impact on productivity



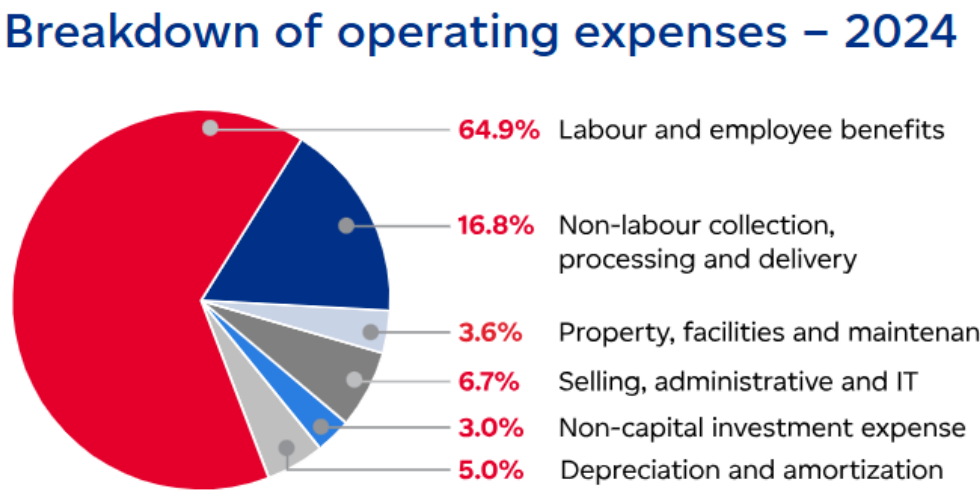
Improve Labour Relations

- Establish quarterly Labour-Management Committee
- Surface issues before contract crises
- Track grievances and key safety KPIs in real time
- Align employee welfare with financial performance



Benefits to Solvency

- Fewer injuries → **lower compensation costs**
- Lower absenteeism → **higher delivery performance**
- Better retention → **reduced hiring/training costs**
- Improved labour relations → **avoid strike-related losses**



Efficiency(short-term): Expedite AI Optimization

- Replace static route planning (updated every 3–5 years)
- Implement AI-powered route optimization
- Approach already used by Amazon, FedEx, and UPS
- Expected result: Up to 20% reduction in fuel consumption per delivery route

Efficiency (Long-term): EV Transition Depot Redesign

- Transition delivery fleet to electric vehicles (EVs), reducing fuel costs long-term

- Redesign depot networks to support localized, high-density urban delivery matching how competitors operate in profitable corridors

Expand E-commerce Partnerships

Canada Post should become the **preferred logistics partner for online retailers**.

Potential partners include:

- Shopify
- Amazon
- eBay

Strategic Actions

- Offer **discounted shipping rates for small online businesses**.
- Provide **integrated shipping APIs** for e-commerce platforms.
- Launch **fulfillment services** for small and medium enterprises (SMEs).

Strategic Outcome

Canada Post captures more of the rapidly growing **e-commerce logistics market**.

Innovative Strategies from Global Postal Services

Example: DHL Parcel Lockers (Germany)
Germany's logistics network operated by DHL has built a massive automated parcel locker system called Packstation.

How it Works

- Customers receive a notification when their parcel arrives.
- They can collect their package from a locker using a mobile code.
- Lockers operate 24/7.

Strategic Benefits

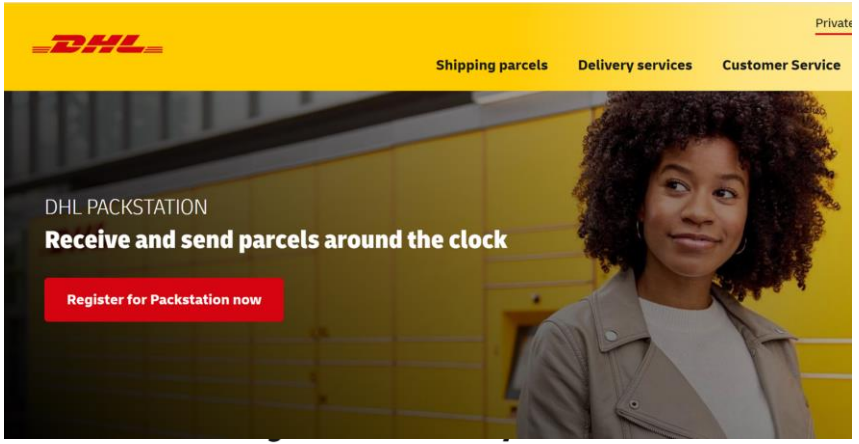
- Reduces failed delivery attempts.
- Cuts last-mile delivery costs.
- Improves customer convenience.

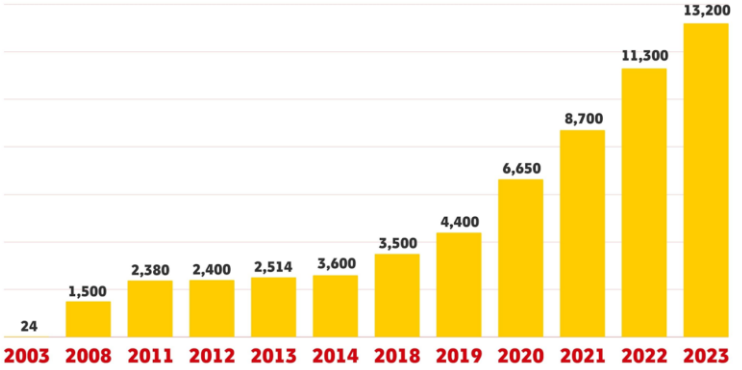
Application for Canada Post

Canada Post could expand parcel lockers in:

- subway stations
- universities
- apartment buildings
- shopping centers

This would significantly improve last-mile delivery efficiency.





Efficiency Rec: Workforce & Scheduling

- Implement AI driven predictive volume forecasts to better staff and prep equipment ahead of demand spikes
- Reduce overtime dependencies by developing daily staffing models using AI to accurately staff each facility

Strike Prevention Rec(s)

- Switch from a peak-season employment surge model to a more consistent model
- Develop a modest CPI-Linked wage escalator into future contracts

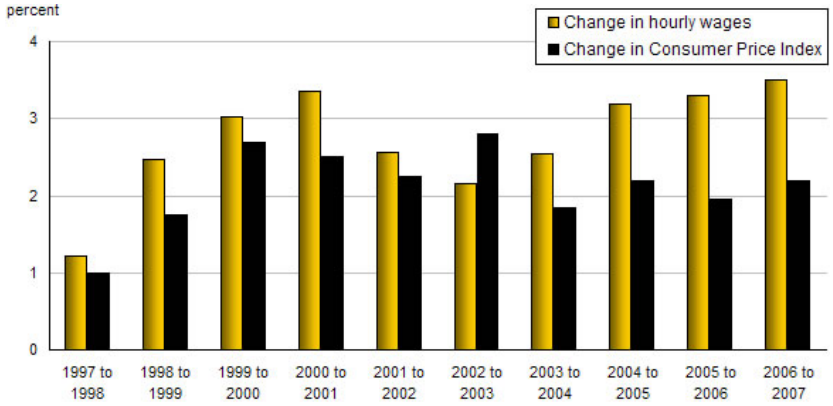
Switching from a peak-season employment surge model to a more consistent model

- Conduct a workforce audit to establish a true baseline for the delivery volume,
  - Size a permanent full-time workforce around that number
- Convert top performing temporary workers to full time
  - To transition the employees, offer 25-30 hr/week contracts with defined schedules
- Introduce conversion timelines for employees
  - Temporary workers can transition to part time after x amount of months
  - Part time workers can transition to full time after x amount of months
- Control and set a cap on the ratios of temporary to permanent employees
  - Creating a ceiling rather than a floor

Develop a modest CPI-Linked wage escalator into future contracts

- Tie base wage to increase annually
- Only to base wage, not overtime
- Cap the escalator to protect Canada Post's cost base
- Create a cap even if the CPI falls

- Benefits:
  - Removes the single biggest driver of strikes
  - Predictable labor costs
- Improves credibility
  - With workers & union
  - And over time with Canadian Citizens



Conclusion:

- Canada Post is facing numerous challenges externally and internally
  - From Competition from competitors
  - To worker strikes
- To face these challenges head on we have created a list of strategic recommendations for Canada Post
  - Improve Worker Health & Safety
  - Innovative Strategies from Global Postal Services
  - Expand E-commerce Partnerships
  - Develop a modest CPI-Linked wage escalator into future contracts
  - Workforce & Scheduling
  - Switching from a peak-season employment surge model to a more consistent model
  - Develop a modest CPI-Linked wage escalator into future contracts
  - Improve Labour Relations

Thank you!

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